

Global Innospec Cares charitable activities in 2020

Each year our global charitable giving and volunteering program helps support local or national organizations whose activities fall under one of four categories; Support of disadvantaged groups, human health and wellbeing, educational support and environmental projects. We also provide emergency relief support when an area is affected by an unforeseen natural disaster.



Brain Research UK



Innospec Cares match funded the money raised by an employee who ran seven marathons, on seven continents in seven days. The charity is dedicated to research into neurological conditions including Alzheimer’s disease, dementia, brain tumors, Huntington’s disease, Motor Neurone disease, Parkinson’s disease and strokes.



Meals on Wheels



Six employees from our Salisbury, US facility used their volunteering day to deliver nutritious meals to the elderly and the most vulnerable in their community.



Elton Parish Council



A team of eight employees from our Ellesmere Port, UK R&T department spent their volunteering day planting a new 100-meter hedge in a new community green space in a village local to the manufacturing plant.



Avis Provinciale Montova



A direct giving donation was made to support this Italian based organization. The charity is run in association with the Hospital of Mantova and promotes the need to give blood and plasma. They also help collect and deliver donations to the hospital.



Hospice of the Good Shepherd



Six employees based at our Ellesmere Port UK Site helped to assemble and plant over 1000 handcrafted metal daisies in the grounds of Chester Cathedral in the UK. Each daisy planted is dedicated in memory of someone special.



“It is very satisfying to be able to help charities through something you love to do. I am so pleased and thankful that people I know contribute again and again to my chosen cause. More often than not Brain Research UK is my charity of choice due to the loss of several family members, including my wife, to the vagaries of brain conditions. Life is both cruel and wonderful at the same time.”

Roger Comish
Business Systems Manager

Sunlove Abode

Innospec Cares match funded money raised by an employee competing in a 200km sponsored cycling challenge. The Singapore based charity provides a home, shelter and care for those with learning disabilities and their families.



Cheshire Young Carers

Innospec Cares made a donation to this UK based charity who support young children between 6 and 18 caring for an adult or sibling suffering from disabilities, mental health or substance abuse.



Footprints in the Community

A ‘not-for-profit’ organization in the US received funds to help provide fun community activities and programs for families and children with special needs, inclusive of non-disabled peers.



PAPYRUS

A direct giving donation was made to this UK based national charity dedicated to the prevention of young suicide through support, advice, training and influence.



Capstone Recovery Center

One of our US employees in Salisbury spent her volunteering day teaching a new skill, sign language, to residents at the facility who provide a safe environment for women recovering from addictions to drugs and alcohol.



Environment

Conserving and protecting

Our focus area for the Environment is:

Minimizing impact

Seeking to understand and reduce the impact of our activities, while developing innovative products to help protect the environment.

What's next?

To further develop our strategy to reduce our impact on the environment is a priority going forward.

Read more about our plans to continue to reduce Greenhouse Gas emissions, reduce energy and water consumption, and recover and reuse waste streams.

[Find out more on page 45 >](#)



100%

Renewable electricity

Last year we made a commitment to source all electricity used at our European manufacturing sites from renewable sources. We have not

only met this target but exceeded it. In 2020, all global manufacturing sites sourced their electricity from renewable sources. As a result, our scope 2 Greenhouse Gas (GHG) emissions from the electricity used at our manufacturing sites is now zero.

What you will find in this section of the report

[Our environmental dashboard >](#)

[How we minimize our environmental impact >](#)

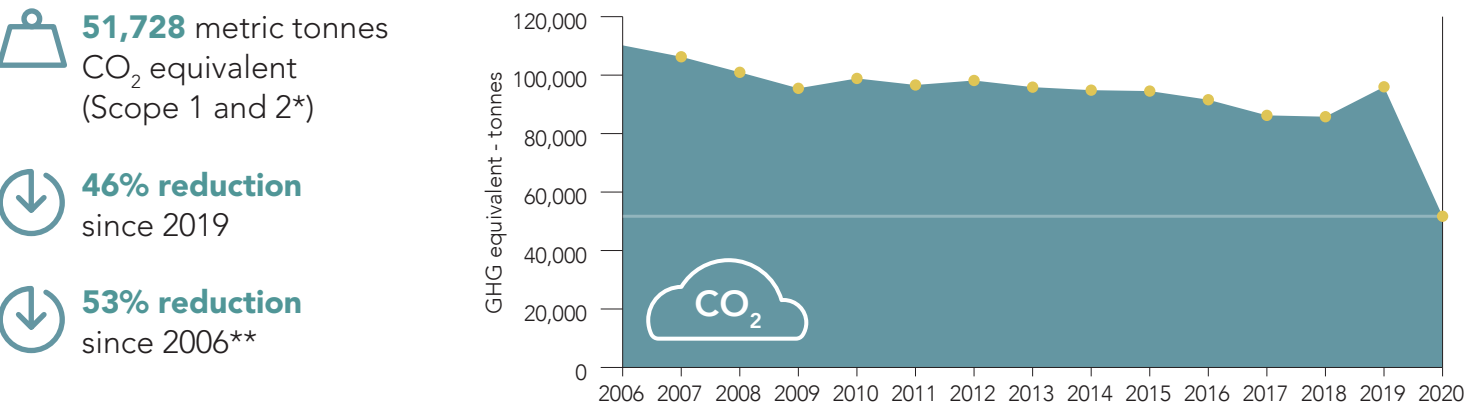
[Reducing energy, saving water and handling waste >](#)

[Independent verification >](#)

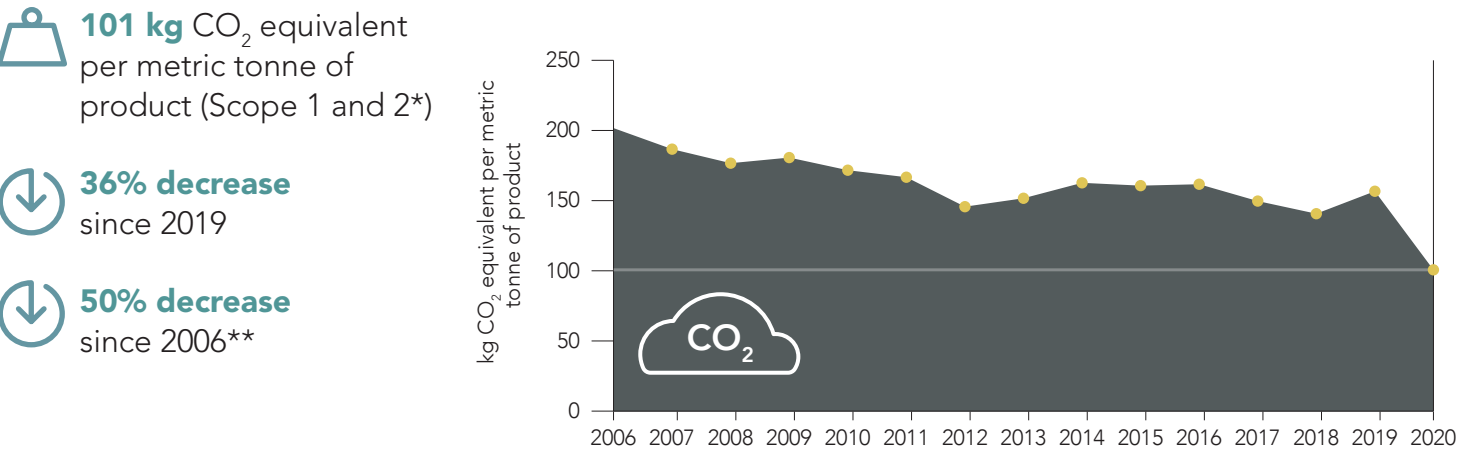


Environmental dashboard

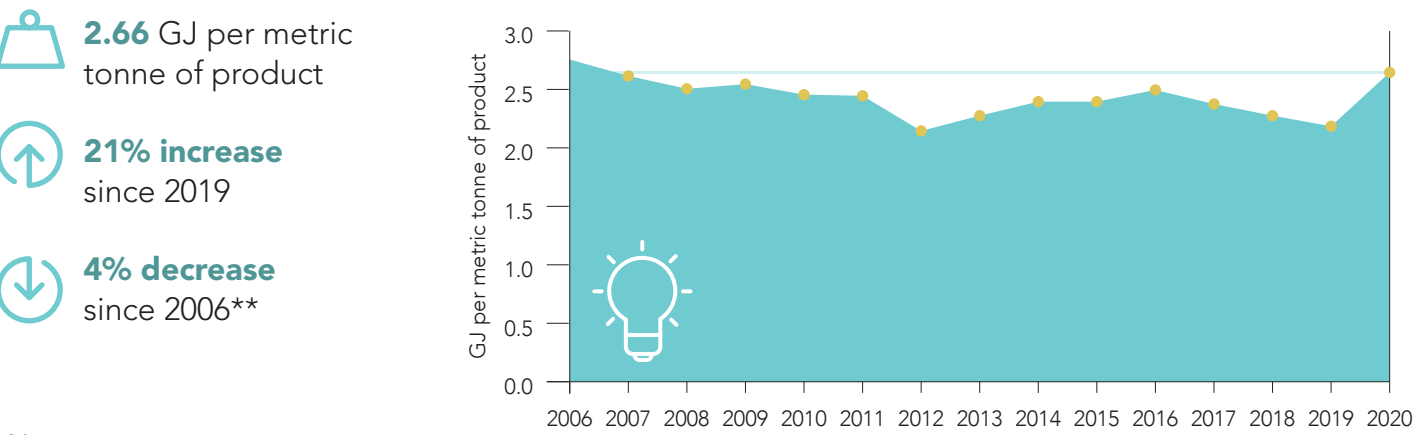
Absolute GHG Emissions



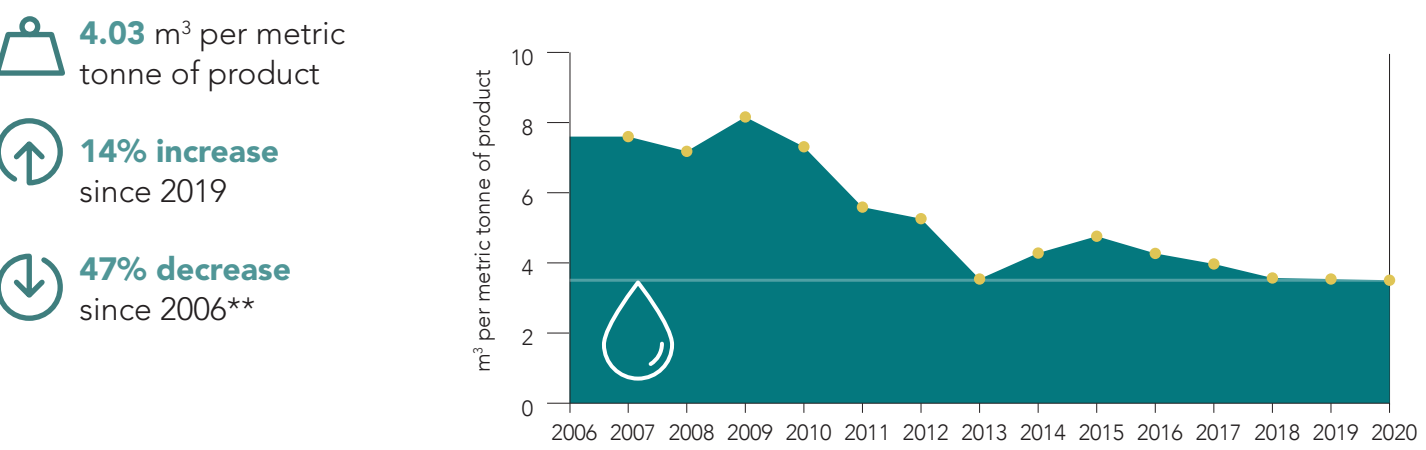
GHG Emissions



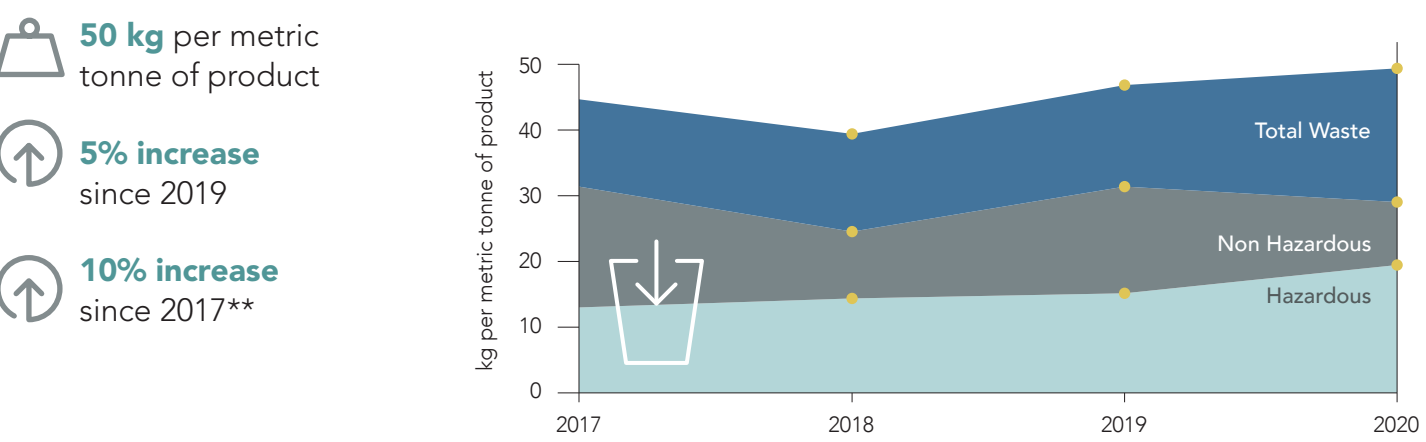
Energy use



Water use



Total waste



*Our emissions are calculated using the reporting year's UK DEFRA and IEA emission conversion factors for greenhouse gas reporting. The reporting of scope 1 and 2 emissions is in line with the GHG Protocol Standard. In previous years we have applied location based factors to our scope 2 reporting. In 2020, we have changed to the use of emission factors in line with the GHG Protocols Scope 2 Guidance for Market Based reporting and applied to all reported years.

** Base line reporting year

Minimizing our impact

We are committed to using resources as efficiently as possible and minimizing the impact of our operations on the environment. We continuously review advancing technologies and processes so that we can actively seek out opportunities to improve our performance. We also look to improve the sustainability of our products and help our customers respond to environmental challenges through innovation and improved product performance.



“Through the efforts of all of our employees, despite the pandemic, our environmental objectives remain on track. The fact that all of the electricity at all our manufacturing sites is now from renewable sources is one great step on our journey to redefine our carbon footprint. The already high profile of and focus on, energy, water and waste reduction, will be further developed in 2021 through the application of innovative and new techniques.”

Peter Shields

Group Safety, Health and Environment Director

We have been monitoring and publicly reporting on our environmental performance since 2006. Each year, we report on our impact across the four key areas of Greenhouse Gas (GHG) emissions, energy use, water use and hazardous waste. Since this time, significant reductions have been made in our GHG emissions, energy and water usage.

2020 has created challenges with our approach to environmental performance reporting, which is presented on an intensity, per tonne of product produced basis. The collapse in oil prices followed by the impact of the pandemic reduced worldwide demand. As to be expected, both our Fuel Specialties and Oilfield Services businesses suffered from a dramatic drop in customer demand and hence production volumes were lower than previous years. Although this has led to lower emissions, this has resulted in the overall intensity of our operations increasing for some aspects and a lower reduction in intensity for others when compared to previous reporting years.

Monitoring and measuring the impact we have on the environment has been a long-standing core element of our sustainability strategy. We are committed to using resources as efficiently as possible, promoting sustainable consumption and minimizing the impact of our operations on the environment. We also look to increase the sustainability of our products and help our customers respond to environmental challenges through innovation and improved product performance.

Energy Use and Greenhouse Gas Emissions

We recognize the important contribution that businesses can make in helping to reduce global GHG emissions and reduce the risk of climate change. Our climate change position statement is available on our website and sets out our commitment to reducing GHGs. We have made significant reductions in our carbon emissions since our 2006 baseline year.

In 2020, following a change in methodology*, we reduced our absolute Scope 1 and 2 GHG emissions by 46% since 2019 and 53% since 2006. Our GHG emissions intensity decreased by 36% since 2019 and 50% since 2006.

Although a number of our facilities reduced their absolute energy consumption in 2020, the overall reduction in production volume was greater. Our production plants aim to use energy as efficiently as possible; however, they do need a minimum amount of energy to operate. Where production volumes fall below optimum levels, this has an adverse impact on consumption and thereby emissions data. For 2020, this resulted in a 21% increase in the energy use per tonne of product produced since 2019, however a saving of 4% has still been achieved versus the 2006 base year.

In 2020, we have continued to deliver a range of activities and investments to further improve our energy efficiency and reduce our GHG emissions.

Switching to the procurement of 100% renewable electricity at all our manufacturing sites resulted in a significant reduction in our absolute GHG emissions in 2020. Renewable energy now accounts for 27% of Innospec’s total energy mix.

Our global Energy Reduction Group (ERG) is responsible for maintaining a pipeline of energy reduction projects and the sharing of ideas and best practice across the sites. This includes capital investment projects and local initiatives. A dedicated energy reduction fund is made available each year for capital investment projects that support energy reduction projects where the payback period is accepted as being longer than would normally be required. The fund

targets projects that could help deliver our 2019 to 2020 objective of achieving a 2% (1,104 metric tonnes) reduction in our scope 1 and 2 emissions, based on a 2015 baseline, by the end of 2020.

Going forward, our energy reduction projects and activities implemented during 2019 and 2020 are forecast to reduce annual energy consumption by over 4,033 Mwh and reduce our total group scope 1 and 2 emissions by 30,922 metric tonnes CO₂ equivalent. As a result, we have far exceeded our original target of 2%, instead achieving a 56% reduction based on 2015 baseline.

Projects for 2020 included the optimization of the wastewater bio plant heating system at our site in Castiglione, Italy which will provide a saving of 500,000 kWh in gas usage per year. The site also replaced a rotary engine and increased vacuum efficiency on their Ecodrier plant which in addition to improved overall plant productivity also reduces energy consumption by 350,000 kWh per year.

Improvements made to the air compressor efficiency at our manufacturing facility in St Mihiel, France will reduce electricity demand by 85,000 kWh a year. They also completed upgrades to storage tank insulation systems which will save 140,160kWh of gas per year.

At our site in Ellesmere Port, UK work continued in 2020 on the rationalization and replacement of the site’s ageing electrical infrastructure with the upgrade of three further substations, saving 272,000 kWh of electricity each year. The site also made improvements to the compressed air system, reducing electricity consumption by 181,300 kWh per year. The replacement and upgrade of the lagging system on the sites steam heated storage tanks will provide an additional saving of 35,000 kWh in gas each year. The Ellesmere Port site also switched their fleet of diesel vans to electric vans powered by 100% renewable electricity.

Our supply chain teams continued their efforts to reduce our shipping mileage and the associated emissions by bringing the production of certain products closer to

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our customers. The manufacture of four key products, supplied to our European customers, was moved from our manufacturing facility in North Carolina, US to our Ellesmere Port, UK plant. This helped our Performance Chemicals business to save approximately 85% on the corresponding shipping mileage and associated GHG emissions. Similarly, our Fuel Specialties business saved approximately 51% on shipping miles and associated emissions for a product by moving its production from India to Barcelona, Spain and so closer to the customer base.

Carbon offsetting

As part of our objective to secure renewable energy sources, we purchased Hydro Renewable Energy Certificates (RECS) to offset the 2020 electricity usage at all of our US manufacturing facilities.

Our manufacturing facility in Herne, Germany maintained its carbon neutral status in 2020, through the purchase of 14,000 carbon certificates to offset their 2019 and 2020 energy usage. The certificates are supporting two renewable energy projects involving hydropower in Uganda and wind turbines in India.

For the seventh consecutive year, our Vernon manufacturing facility in France countered the GHG emissions associated with its production energy usage by supporting the planting of trees as part of the TOGO program. The program not only helps to restore areas affected by deforestation, but it also supports the local population thorough the provision of access to water, nutritional food programs and the creation of local jobs.

Water

We recognize the value of using water responsibly. Although none of our facilities that use water in the production process are located in regions of high-water stress, we make sure that we use this valuable resource as carefully and efficiently as possible.

Water usage has reduced steadily over the past 15 years. We are now using 47% less water in our manufacturing than we were in 2006. However, despite a number of sites decreasing their absolute water usage during 2020, overall

SUSTAINABLE
DEVELOPMENT
GOALS

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Clean Water & Sanitation

6 CLEAN WATER AND SANITATION

Climate Action

Climate change is one of the greatest challenges facing the world today. We understand the impact of GHG emissions on the environment and the important contribution that businesses can make towards their reduction. Innospec contributes to SGD 13 indicators 13.1 and 13.3. We support the wider contributions being made to mitigate climate change though our efforts to reduce emissions from our production processes and also the development of innovative products that help our customers to reduce their emissions.

Clean Water & Sanitation

Responsible water management is extremely important in a world that faces increasing drought conditions and water scarcity. Although none of our facilities that use water in their manufacturing process are located in water-constrained areas, we ensure that we use this valuable resource as carefully and efficiently as possible. Our manufacturing facilities have water reduction and monitoring programs in place so that we can identify and implement actions that will reduce our water usage. We report to CDP on our water security every year.

water usage intensity increased by 14%. As detailed earlier in this section this increase is due to the downturn in customer demand and hence production in both our Fuel Specialties and Oilfield Services businesses, resulting in the reduction in efficiency of water use.

Below are some examples of 2020 activities that helped to reduce our water consumption and improve the quality of wastewater discharge from our sites.

At our High Point, US site, improvements were made to their stormwater handling system. Previously, clean storm water collected on site was directed into the city's wastewater system for treatment. The sites drainage systems were changed to divert this water into the city's storm water drains, removing the need to unnecessarily treat clean rainwater.

Towards the end of 2019, we installed a permanent Dissolved Air Flotation (DAF) pre-treatment unit at our Salisbury plant in the US to help improve wastewater quality. In 2020, this resulted in a 79% reduction in chemical oxygen demand (COD) and a 98% reduction in solids discharged from site to the city's wastewater treatment system.

Our site in Ellesmere Port, UK continued the upgrade of ageing underground water main and distribution pipelines which addressed two significant water leaks. The team in Barcelona, Spain is reducing the amount of water used by further extending the switch from water to steam cleaning and ensuring efficient pressure settings are used.

In Herne, Germany the team have focused their water reduction actions on process optimization. Changes to the washing stage of the manufacturing process of a key new fuel additive product reduced the amount of water needed per batch by 27%. Improvements were also made to the cooling water system to prevent the buildup of lime deposits in the reactors cooling jackets, helping to reduce water consumption by 0.8m³ per batch of product.

In Oklahoma and Pleasanton in the US, the sites are reducing water consumption and eliminating wastewater disposal, by reusing wash water as an alternative to fresh water in compatible product batches.

Minimizing our impact

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